P220/1
ECONOMICS
Paper 2
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3 hours

KASSEC

KAYUNGA SECONDARY SCHOOLS EXAMINATIONS COMMITTEE (KASSEC)
JOINT MOCK EXAMINATION 2026

Uganda Advanced Certificate of Education

ECONOMICS

Paper 2

3 hours

INSTRUCTIONS TO CANDIDATES:

- *This paper consists of **two** section **A** and **B***
- *It has **four** items*
- *Section **A** has **two** compulsory items*
- *Section **B** has **two** items. Respond to one item.*
- *Respond to **three** items in all.*
- *Any additional item responded to will not be scored.*

Turn Over

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SECTION A

All items in this section are compulsory

Item 1

Over the last five years (2020 - 2025), Uganda has recorded an average economic growth rate of 5.3% per annum (BOS report 2025). To achieve that and more growth, Uganda has always been seeking transfer of assistance from other countries through various ways. This assistance has helped Uganda achieve growth in different areas. This external assistance however has not been effectively utilized to enable Uganda achieve a desired growth target of 10 percent by 2030. Economic analysts have advised that a lot has to be done to enable Uganda effectively utilize this assistance in order to achieve the 2030 target.

Economic analysts have also advanced arguments on how to guide Uganda's next phase of growth and development. They are proposing opening up markets within the East African community to take advantage of the customs union agreement which came into force in 2005. Many Ugandans especially exporters however, are not convinced about the importance of the signed agreement and believe that it may not do much to boost their earnings from the regional market and may not enable Uganda gain much. The Ministry of Trade, industry and commerce has gotten concerned and has organized a sensitization workshop to convince them accept the effective implementation of the signed agreement. You have been approached as a student of economics.

Task:

(a) Present strategies that can be employed by the government to implement the advice of the economic analysts.

(b) Propose arguments the ministry of trade, industry and commerce can use to convince the traders accept the signed agreement.

Item 2

The parish Development Model (PDM) was launched on February 26th 2022 by President Museveni. It is intended to transform households from subsistence to a money economy. However, a section of members of parliament claims that it has not served the purpose and it is a wastage of taxpayers' money which should be phased out. The ministry of Local Government is concerned and has organized a consultative meeting where you have been invited as an expert in economics.

Additionally, according to reports of the Ministry of Finance, Planning and Economic Development, there was an increase in approved expenditure for financial year 2024/2025 totaling to Ugx. 72.136 trillion from Ugx. 52.737 Trillion for financial year 2023/2024. Despite this trend, economic analysts observed that this results into high debt servicing cost which leaves fewer actual resources available to fund crucial public services. They urged government to intervene.

Task:

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Write a presentation that will be used to convince the members of Parliament about the programme highlighted in the scenario. Advantages of commercial maize production.

) Assist the government with proposals to be put in place to address the concerns of the economic analysts in the scenario. Measures to control a deficit budget

SECTION B

Respond to **one** item from this section.

Item 3

According to Uganda Bureau of Statistics annual report of 2025, wealth is unevenly distributed jn Uganda with areas such as Kampala. Parts of Ankole and Buganda having the richest people while regions like Karamoja, Busoga and parts of West Nile have the poorest people. District leaders from the poorer regions have expressed concern about the growing economic inequalities. The economic experts have observed that the poorer regions have less access to investment opportunities which limits economic growth and seek for government intervention.

Furthermore, in recent years government spending has been increasing and as result money has been directly put into the economy. This has led to a situation of too much money in circulation chasing few goods. However, economic analysts have observed that this situation has adverse effects on the economy and therefore seek for the central bank intervention to stabilize the economy.

As an expert in economics:

Task:

(a) Advise government on the measures it should adopt to address the concerns of the economic analysts in the scenario.

(b) Propose interventions the central bank should use to address the challenge in the scenario.

Item 4

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Every country measures the monetary value of all the goods and services produced each year. The amount received is then divided by the total population of that country to obtain the average income received by each citizen in the country. When this figure is high, it implies improved welfare while a low figure implies poor welfare in the country. The average figure for Uganda is estimated at USD 1300 while that for USA is about USD 93,000. This has made many Ugandans admire going to USA. Every day that goes, the US embassy is flooded by Ugandans badly in need of going to the US and this is causing serious concern at the embassy.

Meanwhile some citizens wish to stay in Uganda but Uganda's banking sector faces many challenges. The lending -borrowing process is highly inefficient, this is hindering proper running of businesses and profitability of the banking sector. The managers of the various commercial banks have organized a conference to forge away forward. You have been invited to this conference of which Ugandans who missed out on the US visas will be in attendance since they would like to borrow from commercial banks.

Task:

(a) Analyze the reasons way the belief by Ugandans about the welfare in USA may not be correct compared to their country.

(b) Sensitize the bank officials on how to achieve their desired objectives.

END

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